



Market Debunk ✓
Exposing Retail Traps & Institutional Math

#IPOINVESTING

The Rs. 60 IPO Trap: **Cheap Stocks Lie to You**

Inside: 3-Step Valuation Forensic Check



The Nominal Share Price Illusion



The Myth: Retail investors assume a Rs. 60 IPO is inherently cheaper and holds easier multibagger potential than high-priced stocks.

The Reality: Nominal price is purely aesthetic. A Rs. 60 stock trading at 60x P/E is far more expensive than a Rs. 2,000 blue-chip trading at 18x P/E.

Core Rule: Nominal price creates affordability bias. Market cap and P/E dictate true valuation.



3 Traps Hidden Behind Low-Priced IPOs



- 1. Dilution Concealment:** High total share counts at low nominal prices mask aggressive promoter valuations and exit pricing from retail scrutiny.
- 2. Float & Liquidity Traps:** Low ticket sizes attract retail frenzies, creating artificial day-one volume while institutional tier-1 participation is zero.
- 3. Aggressive P/E Multiples:** Companies price shares at double-digit unit figures to appear accessible while pricing in years of unproven future growth.



The 3-Step True Value Audit



1

MARKET CAP

Shares Out × Issue Price

2

EARNINGS MULTIPLE

Calculate Trailing P/E

3

PEER BENCHMARK

Compare vs Listed Rivals

Promoters price per-share units to trigger retail demand.
Institutions buy enterprise cash flows and earnings power.

Takeaway: Audit market capitalization vs PAT before
bidding on September 7, 2026.



3 Rules Before Bidding on Any IPO



- 1. Ignore Nominal Price:** Evaluate every IPO strictly as a Total Enterprise Valuation, never as an individual unit bargain.
- 2. Benchmark Sector Multiples:** If a micro-cap demands a richer P/E ratio than established sector leaders, reject the issue.
- 3. Verify Anchor Float:** Check QIB subscription and institutional backing rather than relying on retail oversubscription numbers.



Market Debunk ✓

Exposing Retail Traps & Institutional Math

#SAVETHIS

Don't **forget to** **save this post**

Do you check implied Market Cap or nominal share price before bidding on IPOs?

💬 Comment '**AUDIT**' below to receive *SME & Micro-Cap IPO Red-Flag Forensic Audit Checklist* directly in your DMs!



Market Debunk ✓

@marketdebunk

+ Follow

@marketdebunk

